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US Networking & Communications Equipment

## Celestica Inc

Rating

**Outperform**

Price Target

**CLS** **520.00 USD**

# CLS Q3 26 Earnings & Investor Day Preview: Can OpenAI really do 5 GW of Jalapeno in 2028?

*Celestica is expected to release its Q3 26 earnings press release on Monday, October 26th, after the close. This will be followed by the combined earnings call and Investor Day on October 27th.*

**For the quarter, we expect $5.4B in revenues and $458M in operating profit, largely in line with guidance and with sell-side consensus of $5.4B and $457M.** While we are lower on EPS ($2.79 vs. consensus at $2.97), we believe that this is because some analysts have yet to factor in Celestica's share count dilution from the equity raise.

**However, numbers for the quarter may matter little, as investor focus shifts towards the longer term guide. We model $40B in revenues and $24.19 in EPS for 2027.** We expect management to guide closer to our number, but also think that the buy side is already there.

**We also expect management to soft-guide for 2028. We model $36 in EPS, above sell-side consensus of $27 but likely close to buy side bogeys. However, we wonder if there could still be material upside to numbers.** Taking OpenAI and Broadcom's 5 GW number for Jalapeno in 2028 at face value, that would be an additional $33B in revenues and $3.3B in operating profit dollars, potentially leading to ~$60 in EPS. While we are not ready to underwrite this scenario, we also don't believe you need to believe in $60 in EPS to be bullish on Celestica.

### Investment Implications

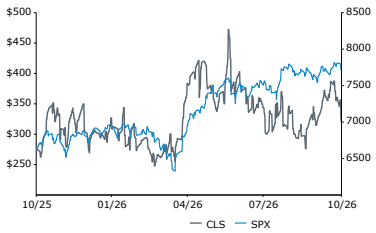
**We like Celestica in both the short and long-term.** In the short term, we generally view risk / reward into the analyst day as positive. Longer term, we believe that the valuation is undemanding: The stock is trading at ~10x the 2028E buy side bogey, lower than EMS/ODM peers, and well below normal multiples for a company with this type of growth profile. On net, we remain positive, and reiterate our Outperform rating and $520 price target.

| | |
|---|---|
| Close Date | 14 Oct 2026 |
| CLS Close Price (USD) | 323.32 |
| Price Target (USD) | 520.00 |
| Upside/(Downside) | 61% |
| 52-Week Range | 474.03/238.23 |
| SPX | 7,718.94 |
| FYE | Dec |
| Div Yield | NA |
| Market Cap (USD) (M) | 40,849 |
| EV (USD) (M) | 41,124 |

| Performance | YTD | 1M | 6M | 12M |
|---|---|---|---|---|
| Absolute (%) | 9.4 | 2.3 | (15.9) | 30.5 |
| SPX (%) | 12.8 | 1.3 | 10.8 | 16.2 |
| Relative (%) | (3.4) | 1.0 | (26.7) | 14.3 |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR




| Reported EPS | F25A | F26E | F27E |
|---|---|---|---|
| CLS (USD) | 6.06 | 10.82 | 24.19 |

| Financials | F25A | F26E | F27E | CAGR |
|---|---|---|---|---|
| Revenues (M) | 12,391 | 20,482 | 40,026 | 79.7% |
| EBITDA (M) | 1,232 | 1,933 | 3,512 | 68.8% |
| Net Income Margin (%) | 6.7 | 6.5 | 6.4 | -- |

| Valuation Metrics | F25A | F26E | F27E |
|---|---|---|---|
| Reported P/E (x) | 53.4 | 29.9 | 13.4 |
| Adjusted P/E (x) | 53.4 | 28.5 | 13.6 |
| EV/Sales (x) | 3.3 | 2.0 | 1.0 |
| EV/EBITDA (x) | 33.4 | 21.3 | 11.7 |

Source: Bloomberg, Bernstein estimates and analysis.

**See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.**

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## DETAILS

*Celestica is expected to release its Q3 26 earnings press release on Monday, October 26th, after the close. This will be followed by the combined earnings call and Investor Day, scheduled for 8am the following morning (October 27th), and then the Investor Day Lunch forum at 1pm on 10/27 in New York. This note previews our expectations for the event.*

**For the quarter, we expect $5.4B in revenues and $458M in operating profit, largely in line with guidance and with sell-side consensus of $5.4B and $457M. While we are lower on EPS ($2.79 vs. consensus at $2.97), we believe that this is because some analysts have yet to factor in Celestica's share count dilution from the equity raise.**

- **We model $5.4B in revenues and 8.4% operating margins, in line with guidance and consensus.** On the Q2 call, Celestica guided to revenues from $5.25B-$5.55B. We model $5.4B, in the middle of the range, and land largely in line with sell-side consensus. We model 8.4% operating margins, also in line with guidance and consensus, and accordingly land at $458M in operating profit, right in line with consensus at $457M (Exhibit 1).

- **We are below consensus on profit dollars, largely because of share count dilution from the equity raise.** On August 5, Celestica announced an equity raise, offering 9.68M in common shares at $310 per share as well as another 1.5M underwriter option. Against 115M in shares outstanding at the end of Q2 26, that implies a share count of 126M. Assuming $15M in other expense and 20.5% tax implies $352M in net income, netting us out at $2.79 in EPS. While this is 6% below consensus at $2.97, we believe this is because some sell-sides are not modeling the dilution from the equity raise.

**However, numbers for the quarter may matter little, as investor focus shifts towards the longer term guide. Celestica guided to a lower bound of $33.8B in 2027 revenues. Consensus is slightly higher, at $35.7B in revenues and $19.88 in EPS. We believe that number is still too low - we model $40B in revenues and $24.19 in EPS. We expect management to guide closer to our number, but also think that the buy side is already there.**

- **Guidance implies at least $33.8B in revenues.** On the Q2 earnings call on July 28, Celestica said that they expect the revenue growth rate to "accelerate as compared to the 65% growth expected in our 2026 annual outlook". Against the $20.5B guide for 2026, that implies a lower bound of $33.8B in revenues.

- **Consensus is modeling $35.7B in revenues, but we believe that management will guide higher, and land at $40B.** Consensus is guiding slightly higher than guidance, at $35.7B in revenues (Exhibit 2). However, we continue to believe that the number will land higher. We see Celestica's new programs as a $25B+ revenue opportunity (Exhibit 3 - for more details, see: CLS: Could OpenAI Jalapeno be bigger for Celestica than Google TPU? And how sustainable is the business?). There is some operational risk, especially in terms of delivering 1.3 GW in Jalapeno for OpenAI, and so we believe that management will want to be prudent in giving 2027 guidance. However, there is enough room for management to be conservative and still land above sell side numbers. We take a ~50% haircut to Jalapeno revenues, and land at $20B YoY revenue growth for CCS and $40B in overall company revenues. We believe formal guidance is likely to land around this number.

- **We feel confident on margins as well.** In our conversations, investors generally raised the most concerns about the margin numbers, with investors particularly flagging a history of overreacting to margin softness. However, when we walk through margin estimates, we generally believe that Jalapeno should be accretive to the operating margins, and as a result 2027 margins should be quite healthy even with the steep ramp in revenues - we net out at ~10% (Exhibit 4). For more details on the feedback to our initiation, see: US Networking: Numbers going up, multiples going down - Top questions and feedback on our initiation

- **We net out at $24.19 in EPS, vs. sell-side consensus of $19.88, but believe the buy side is already there.** Factoring in our estimates for revenues, margins, and the dilution from Celestica's equity raise, we net out at $24.19 in EPS. While this is materially above sell-side consensus at $19.88, we believe the buy side bogey is likely already there, given that our conversations typically pointed to EPS numbers around ~$25.

**We also expect management to soft-guide for 2028. We model $36 in EPS, above sell-side consensus of $27 but likely close to buy side bogeys. However, we wonder if there could still be material upside to numbers.** Taking OpenAI and Broadcom's 5 GW number for Jalapeno in 2028 at face value, that would be an additional $33B in revenues and $3.3B in operating profit dollars, potentially leading to ~$60 in EPS. While we are not ready to underwrite this scenario, we also don't believe you need to believe in $60 in EPS to be bullish on Celestica.

- **We also expect the company to soft-guide for 2028 - we model $36 in EPs vs. consensus at $27, but believe buy side bogeys are likely close to our numbers.** While we think management is unlikely to give formal guidance for 2028, we believe that they could give an informal soft-guide. During the 2025 Investor Day / Q3 call, management stated that it's fair to extrapolate 40% growth for 2026 forward, and "we think at least 40% into 2027 is what we have visibility to". While we lack the conviction to be too prescriptive about exactly what management will say, especially given their tendency to be conservative[1], we model $58B in revenues and $36 in EPS, vs. consensus at $27, although we also think the hedge fund bogey is closer to our number. If, hypothetically, management were to say something on the lines of, "year on year growth in revenue dollar terms in 2028 than 2027", that would imply ~$60B in revenues and mid-high 30s in EPS.

- **2028 numbers can get really large, if you believe in OpenAI's 5 GW of Jalapeno.** We observe that Broadcom and OpenAI have been talking about 5 GW of Jalapeno by 2028. Assuming, this is a cumulative number, this would point to an additional 3.7 GW. On our math, Celestica can capture ~$9B in revenue per GW (Exhibit 5 - for more details, see: AI Value Chain: How much does a GW of AI ASIC data center capacity actually cost?) and $900M in profit dollars. This means an incremental 3.7 GW would point to an incremental $33B in revenue and $3.3B in operating profit, potentially getting to > $60 in EPS for 2028. While we are not ready to underwrite this scenario, we also don't believe you need to believe in $60 in EPS to be bullish on Celestica.

**We like Celestica in both the short and long-term.** In the short term, we generally view risk / reward into the analyst day as positive. Longer term, we believe that the valuation is undemanding: The stock is trading at ~10x the 2028E buy side bogey, lower than EMS/ODM peers, and well below normal multiples for a company with this type of growth profile. We believe that the discounted multiple is ultimately due to concerns about the sustainability of competitive advantage, but we are constructive on the sustainability of Celestica's economics. On net, we remain positive, and reiterate our Outperform rating and $520 price target.

- **Bears are concerned about Celestica's market share, especially amid reports that Inventec and/or Hon Hai is second sourced for Google's TPU.** Bears often cite concerns around Celestica's market share, amid reports that Google is second sourced for TPU (link). Our general understanding is that, while Google is second sourced, it is continuing to rely on Celestica for higher value racks, and largely shifting volumes of more mature and less mission critical programs to its second sources. We believe that this makes sense from Google's perspective - Google sees an opportunity to build its own ecosystem in the huge AI accelerator market, and speed to market is critical to capturing that opportunity, in turn incentivizing Google to rely on vendors that are already familiar with the program and have proven that they can deliver.

- **Bears are also concerned about the sustainability of Celestica's margins, given the intensity of competition with Taiwanese ODMs.** While the ODM / EMS business remains fiercely competitive, we observe that Celestica's margins are not really hugely out of line with the rest of the group, especially considering significant mix from higher margin switching. We also observe that Celestica's margin dollars are small in the context of the overall build, which typically tends to blunt price sensitivity compared to other concerns like the aforementioned speed to market concerns. Celestica's revenues are maybe ~4% of the value of the rack, and CLS is making perhaps 7.5% margins, implying Celestica profit dollars are ~30 bps of rack value. We don't believe it makes sense for Google to put its speed to market at risk in exchange for maybe saving 10-15 bps, and that this is why second sourcing is largely restricted to lower value racks.

- **Bears further argue that if Celestica's margins and market share are not sustainable, it should trade closer to peer multiples.** Our bull pushback is that, while Celestica trades at an elevated multiple on 2026 earnings, that is largely reflecting its growth expectations. Celestica is trading at 9.7x the 2028E buy-side bogey, which is actually consistent with its historical multiple from before it first re-rated on the TPU growth acceleration (Exhibit 6).

- **More broadly, we tend to believe that sustainability concerns seem largely hypothetical, given that both 2027 and 2028 numbers look good, and there's potential upside to numbers from Jalapeno.** We understand that longer-term investors are (and should be) concerned about the sustainability of Celestica's economics, and negative newsflow has fueled those concerns. However, if we zoom out - Celestica has been a consistent operator and a strong share gainer. We expect 2027 and 2028 numbers to be quite strong overall and for margins (the relative weak point) to come out better than expected. On net, we see these concerns as somewhat hypothetical, and believe continued beats and raises should help to

[1] Coupled with $16B in 2026 guidance, management commentary implied $22B in 2027, vs. current formal guidance of $20.5B and $33.8B.

assuage these fears, as well as continued strength in hyperscale capex (Exhibit 7 - for more details, see: AI Value Chain: What do we need to believe to believe the AI build is healthy?).

- **On net, we remain positive, and reiterate our Outperform rating and an unchanged $520 price target.** For more details on our thesis, see our initiation: US Networking: Scaling the bandwidth wall. Initiating with a positive view

EXHIBIT 1: **CLS Consensus Master, 3Q25-4Q26**

| CLS | 2025Q3 | 2025Q4 | 2026Q1 | 2026Q2 | 2026Q3 | 2026Q4 |
|---|---|---|---|---|---|---|
| **Total Revenues ($M)** | | | | | | |
| Consensus | $3,194 | $3,655 | $4,047 | $4,699 | $5,442 | $6,372 |
| **Actual / Bernstein Est.** | **$3,194** | **$3,655** | **$4,047** | **$4,699** | **$5,426** | **$6,310** |
| *Bernstein vs. Cons.* | *0.0%* | *0.0%* | *0.0%* | *0.0%* | *-0.3%* | *-1.0%* |
| **Operating Profit ($M)** | | | | | | |
| Consensus | $242 | $282 | $325 | $386 | $457 | $547 |
| **Actual / Bernstein Est.** | **242** | **282** | **325** | **386** | **458** | **541** |
| *Bernstein vs. Cons.* | *0.0%* | *0.0%* | *0.0%* | *0.0%* | *0.1%* | *-1.1%* |
| **EPS ($)** | | | | | | |
| Consensus | $1.58 | $1.89 | $2.16 | $2.30 | $2.97 | $3.52 |
| **Actual / Bernstein Est.** | **$1.58** | **$1.89** | **$2.16** | **$2.54** | **$2.79** | **$3.33** |
| *Bernstein vs. Cons.* | *0.0%* | *-0.1%* | *-0.2%* | *10.4%* | *-6.0%* | *-5.3%* |
| **FCF ($M)** | | | | | | |
| Consensus | $89 | $156 | $127 | $147 | $109 | $78 |
| **Actual / Bernstein Est.** | **$89** | **$156** | **$127** | **$147** | **-$149** | **$483** |
| *Bernstein vs. Cons.* | *0.0%* | *0.0%* | *0.0%* | *0.0%* | *-236.6%* | *518.3%* |

2026 Q3 and Q4 numbers are estimates; 2025 Q3 - 2026 Q2 are actuals.
Source: Company Reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: **CLS Consensus Master, 2026 to 2030**

| CLS | FY26E | FY27E | FY28E | FY29E | FY30E |
|---|---|---|---|---|---|
| **Total Revenues ($M)** | | | | | |
| Consensus | $20,559 | $35,659 | $48,490 | $59,434 | $70,359 |
| **Actual / Bernstein Est.** | **$20,482** | **$40,026** | **$58,190** | **$69,213** | **$78,201** |
| *Bernstein vs. Cons.* | *-0.4%* | *12.2%* | *20.0%* | *16.5%* | *11.1%* |
| **Operating Profit ($M)** | | | | | |
| Consensus | $1,716 | $3,106 | $4,227 | $5,271 | $6,443 |
| **Actual / Bernstein Est.** | **$1,711** | **$3,863** | **$5,672** | **$6,767** | **$7,658** |
| *Bernstein vs. Cons.* | *-0.3%* | *24.3%* | *34.2%* | *28.4%* | *18.9%* |
| **EPS ($)** | | | | | |
| Consensus | $11.19 | $19.88 | $27.07 | $34.05 | $40.88 |
| **Actual / Bernstein Est.** | **$10.82** | **$24.19** | **$35.85** | **$43.02** | **$48.94** |
| *Bernstein vs. Cons.* | *-3.3%* | *21.7%* | *32.4%* | *26.4%* | *19.7%* |
| **FCF ($M)** | | | | | |
| Consensus | $492 | $541 | $1,179 | $2,302 | $2,906 |
| **Actual / Bernstein Est.** | **$608** | **$673** | **$1,913** | **$3,698** | **$4,639** |
| *Bernstein vs. Cons.* | *23.5%* | *24.4%* | *62.3%* | *60.6%* | *59.6%* |

Source: Company Reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 3: **We see significant upside to revenue for CLS< and we see the 10/27 analyst day as a key catalyst.**

**Celestica 2026-27 Revenue Increase**

| | | | |
|---|---|---|---|
| GW of Jalapeno deployment | 1.3 | 2026 Enterprise revenue | 12,356 |
| # of Jalapeno racks | 5,652 | 2027 Enterprise Revenue | 37,466 |
| Revenue per rack ($K) | 2,044 | | |
| **Jalapeno Revenue ($M)** | **11,551** | Q2 HPS Revenue | 1,900 |
| | | % of revenue from HPS | 72% |
| AMD GPUs (K) | 726 | 2026 HPS revenue | 8,303 |
| AMD racks (K) | 10 | | |
| Scale-up per rack ($K) | 590 | 2026 non-Google HPS revenue | 5,480 |
| **Helios Scale-up opportunity ($M)** | **5,947** | 2027 non-Google HPS Revenue | 7,672 |
| | | | |
| % of revenue from Google | 34% | **2026-27 CCS Growth, Bernstein** | **27,302** |
| Google Revenue in 2026 ($M) | 6,964 | **2026 CCS Revenue, Bernstein** | **16,967** |
| TPU shipments in 2026 (K) | 4,280 | **2027 CCS Revenue, Bernstein** | **44,269** |
| Revenue per TPU ($K) | 1.63 | *Growth %* | *161%* |
| | | | |
| TPU shipments in 2027 (K units) | 8,958 | **2026-27 CCS Growth, Consensus** | **12,832** |
| | | **2026 CCS Revenue, Consensus** | **16,424** |
| CLS Google Revenue in 2027 | 14,575 | **2027 CCS Revenue, Consensus** | **29,256** |
| **2026-27 Incremental Google Revenue** | **7,611** | *Growth %* | *78%* |

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 4: **Celestica CCS 2026-27E Margin Bridge**

| 2026-27 Bridge | Revenue | OP Margin % | OP $ |
|---|---|---|---|
| **2026 CCS** | **16,967** | **8.8%** | **1,485** |
| TPU | 7,569 | 7.5% | 568 |
| AMD Helios | 2,504 | 15.0% | 376 |
| Other HPS | 3,496 | 15.0% | 524 |
| Jalapeno scale-up | 1,748 | 20.0% | 350 |
| Other Jalapeno | 3,840 | 5.0% | 192 |
| **2027 CCS** | **36,125** | **9.7%** | **3,494** |

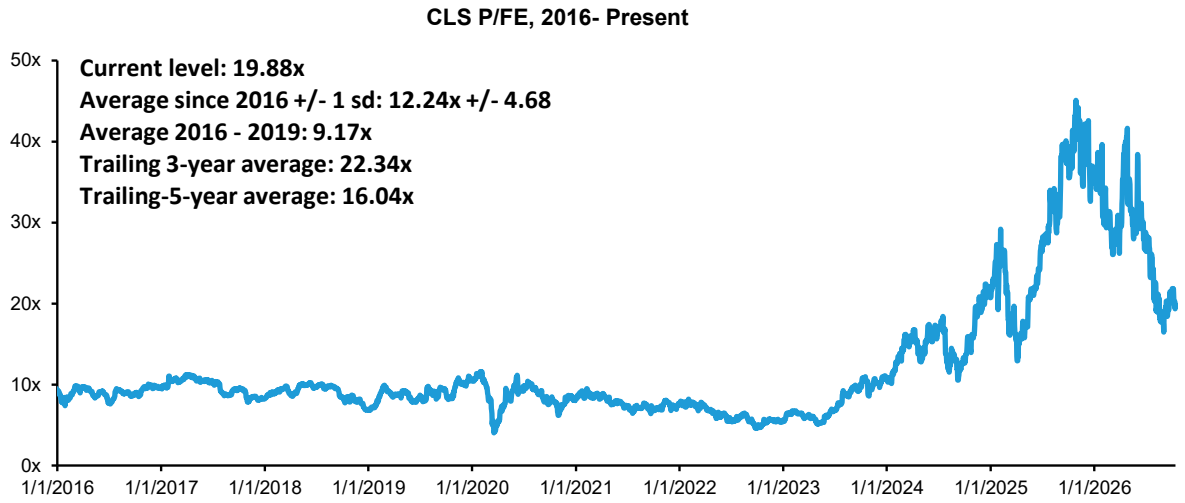
Source: Company Filings, Bernstein estimates and analysis

EXHIBIT 5: **Datacenter XPU Pod Capex Breakdown by Architecture**

| | Nvidia | | | AMD | Google | OpenAI |
|---|---|---|---|---|---|---|
| | H100 DGX x8 | GB200 NVL 72 | VR NVL 72 | MI455X Helios | TPU v7 Ironwood | Jalapeno |
| | | 4 | 225 | | | |
| **$K / Rack** | | | | | | |
| CPU ex. DRAM | 34 | 92 | 180 | 268 | 32 | 320 |
| DRAM | 263 | 280 | 888 | 1,212 | 126 | 395 |
| **CPU** | **297** | **372** | **1,068** | **1,481** | **158** | **715** |
| XPU ex. HBM | 182 | 2,112 | 3,960 | 2,520 | 1,408 | 2,034 |
| HBM | 59 | 300 | 697 | 952 | 275 | 846 |
| **XPU** | **240** | **2,412** | **4,657** | **3,472** | **1,683** | **2,880** |
| **Computing sub-total** | **537** | **2,784** | **5,725** | **4,952** | **1,841** | **3,595** |
| **Front-end** | | 144 | 80 | 70 | | 32 |
| Scale-up Switches | | 180 | 277 | 200 | | 300 |
| OCS | | | | | 154 | 77 |
| Cabling | | 123 | 158 | 140 | 43 | 194 |
| Backplanes & Other | | 102 | 154 | 250 | 102 | 102 |
| **Scale-up** | | **405** | **589** | **590** | **299** | **673** |
| SuperNICS | **112** | 144 | 198 | 324 | | 0 |
| Scale-out Switching | | 108 | 108 | 237 | 113 | 0 |
| Transceivers | | 127 | 194 | 245 | 128 | 109 |
| **Scale-out** | **22** | **380** | **500** | **806** | **241** | **0** |
| **Networking sub-total** | **134** | **929** | **1,170** | **1,466** | **539** | **814** |
| Direct-attached Storage | 106 | 222 | 222 | 532 | 92 | 214 |
| Cooling | 16 | 51 | 102 | 102 | 40 | 70 |
| Chassis | 31 | 100 | 100 | 100 | 48 | 96 |
| Power Delivery | 14 | 44 | 102 | 80 | 30 | 144 |
| Others | | | 100 | 100 | 100 | 100 |
| **Pod Total** | **838** | **4,130** | **7,520** | **7,333** | **2,691** | **5,032** |

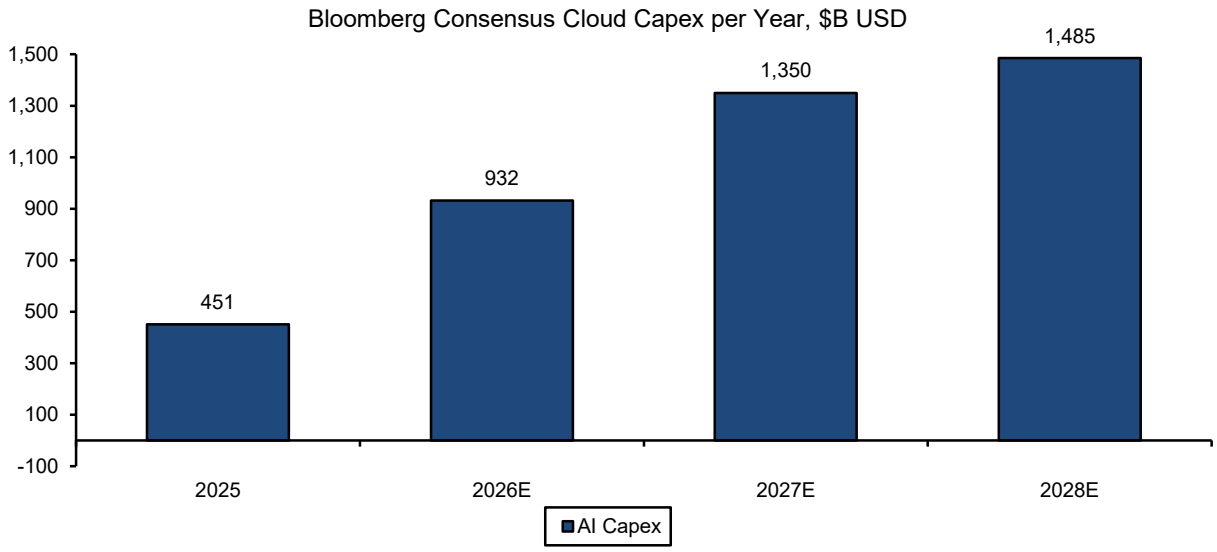
Source: Expert Conversations, Company Disclosures, LIterature Search, Channel Checks, Bernstein estimates and analysis

EXHIBIT 6: **CLS Price vs Earnings, 2016 - present**




Source: Bloomberg, Bernstein analysis

EXHIBIT 7: **AI Capex, already at a multibillion dollar value, continues to grow**




Source: Bloomberg, Bernstein analysis

# APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 8: **Celestica: Financial Model**

| Celestica Inc - Financial Model<br>*In US$ M unless otherwise specified* | 12/31/2025<br>2025A | 12/31/2026<br>2026E | 12/31/2027<br>2027E | 12/31/2028<br>2028E | 12/31/2029<br>2029E | 12/31/2030<br>2030E | 3/31/2025<br>1Q25A | 6/30/2025<br>2Q25A | 9/30/2025<br>3Q25A | 12/31/2025<br>4Q25A | 3/31/2026<br>1Q26A | 6/30/2026<br>2Q26A | 9/30/2026<br>3Q26E | 12/31/2026<br>4Q26E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Income Statement** | | | | | | | | | | | | | | |
| | | | 22 | | | | | | | | | | | |
| **Non-GAAP Income Statement** | | | | | | | | | | | | | | |
| | | | | 33.83 | 33300.00 | 3,330 | | | | | | | | |
| **Revenue** | 12,390.9 | 20,481.5 | 40,026.4 | 58,189.7 | 69,213.3 | 78,201.4 | 2,648.6 | 2,893.4 | 3,194.0 | 3,654.9 | 4,047.0 | 4,698.6 | 5,426.2 | 6,309.8 |
| COGS | 10,975.9 | 18,143.1 | 35,023.1 | 50,916.0 | 60,561.6 | 68,426.2 | 2,357.1 | 2,555.7 | 2,819.6 | 3,243.5 | 3,588.7 | 4,159.9 | 4,804.0 | 5,590.5 |
| **Gross Profit** | 1,415.0 | 2,338.4 | 5,003.3 | 7,273.7 | 8,651.7 | 9,775.2 | 291.5 | 337.7 | 374.4 | 411.4 | 458.3 | 538.7 | 622.1 | 719.3 |
| SG&A | 364.0 | 416.9 | 804.9 | 880.9 | 1,027.3 | 1,148.4 | 85.0 | 87.8 | 94.4 | 96.8 | 91.0 | 104.1 | 108.8 | 113.0 |
| R&D | 118.2 | 203.1 | 320.2 | 698.3 | 830.6 | 938.4 | 17.6 | 34.0 | 36.4 | 30.2 | 41.2 | 46.3 | 53.5 | 62.2 |
| Other | 5.8 | 7.9 | 15.4 | 22.4 | 26.7 | 30.1 | 1.1 | 1.2 | 1.4 | 2.1 | 0.9 | 2.0 | 2.3 | 2.7 |
| **Opex** | 488.0 | 627.9 | 1,140.5 | 1,601.6 | 1,884.5 | 2,116.9 | 103.7 | 123.0 | 132.2 | 129.1 | 133.1 | 152.4 | 164.5 | 177.9 |
| **Operating Income** | 927.0 | 1,710.5 | 3,862.8 | 5,675.5 | 6,767.1 | 7,658.2 | 187.8 | 214.7 | 242.2 | 282.3 | 325.2 | 386.3 | 457.6 | 541.5 |
| Other income (expense), net: | 52.6 | 62.9 | 62.9 | 62.9 | 62.9 | 62.9 | 13.7 | 13.5 | 12.8 | 12.6 | 16.0 | 17.4 | 14.9 | 14.6 |
| **Pre-tax Income** | 874.4 | 1,647.6 | 3,799.9 | 5,612.6 | 6,704.2 | 7,595.3 | 174.1 | 201.2 | 229.4 | 269.7 | 309.2 | 368.9 | 442.7 | 526.9 |
| **Income Tax** | 171.2 | 331.1 | 763.6 | 1,127.9 | 1,347.3 | 1,526.4 | 34.0 | 40.0 | 46.3 | 50.9 | 59.7 | 73.5 | 90.8 | 107.1 |
| *Effective Tax Rate %* | 19.6% | 20.1% | 20.1% | 20.1% | 20.1% | 20.1% | 19.5% | 19.9% | 20.2% | 18.9% | 19.3% | 19.9% | 20.5% | 20.3% |
| **Net Income** | 703.2 | 1,316.5 | 3,036.3 | 4,484.7 | 5,356.9 | 6,069.0 | 140.1 | 161.2 | 183.1 | 218.8 | 249.5 | 295.4 | 351.8<br>473.0 | 419.8 |
| Diluted Share Count | 116.1 | 121.7 | 125.5 | 125.0 | 124.5 | 124.0 | 116.9 | 115.9 | 115.9 | 115.9 | 115.7 | 116.2<br>116.14 | 126.1<br>6% | 126.0 |
| **Earnings per Share** | 6.06 | 10.82 | 24.19 | 35.87 | 43.02 | 48.94 | 1.20 | 1.39 | 1.58 | 1.89 | 2.16 | 2.54 | 2.79 | 3.33 |
| **Balance Sheet** | | | | | | | | | | | | | | |
| **Assets** | | | | | | | | | | | | | | |
| Cash and Cash Equivalents | 596 | 4,320 | 4,992 | 6,908 | 10,606 | 15,245 | 303.0 | 313.8 | 305.9 | 595.6 | 378.0 | 535.7 | 3,836.4 | 4,319.9 |
| Accounts Receivable, Net | 2,638 | 4,483 | 8,761 | 12,736 | 15,149 | 17,116 | 2,135.9 | 2,287.8 | 2,439.3 | 2,638.1 | 3,167.4 | 3,338.2 | 3,855.1 | 4,482.9 |
| Inventories | 2,188 | 4,572 | 8,825 | 12,829 | 15,260 | 17,241 | 1,788.3 | 1,918.1 | 2,046.7 | 2,188.0 | 2,672.9 | 3,401.7 | 3,928.4 | 4,571.5 |
| Other current assets | 252 | 479 | 936 | 1,361 | 1,618 | 1,828 | 149.3 | 251.3 | 350.9 | 251.5 | 178.6 | 298.7 | 424.9 | 478.9 |
| **Total Current Assets** | 5,673 | 13,853 | 23,514 | 33,834 | 42,633 | 51,431 | 4,376.5 | 4,771.0 | 5,142.8 | 5,673.2 | 6,396.9 | 7,574.3 | 12,044.9 | 13,853.1 |
| Property, plant & equipment, net | 586 | 1,453 | 2,349 | 3,601 | 4,462 | 5,240 | 536.5 | 549.4 | 551.9 | 586.0 | 711.3 | 1,026.3 | 1,242.8 | 1,452.5 |
| Operating lease right-of-use assets | 124 | 153 | 153 | 153 | 153 | 153 | 124.6 | 123.5 | 124.5 | 124.1 | 149.8 | 152.7 | 152.7 | 152.7 |
| Goodwill | 333 | 333 | 333 | 333 | 333 | 333 | 340.5 | 340.8 | 340.7 | 333.1 | 333.0 | 332.9 | 332.9 | 332.9 |
| Other intangible assets, net | 266 | 207 | 207 | 136 | 74 | 20 | 297.5 | 286.8 | 276.4 | 266.2 | 255.6 | 244.9 | 225.8 | 207.3 |
| Deferred income taxes | 156 | 277 | 541 | 787 | 936 | 1,057 | 86.9 | 95.2 | 99.5 | 156.4 | 182.3 | 206.2 | 238.1 | 276.9 |
| Other Non-Current Assets | 74 | 336 | 657 | 955 | 1,136 | 1,283 | 72.4 | 74.4 | 71.9 | 74.1 | 231.1 | 250.3 | 289.1 | 336.1 |
| **Total Non-Current Assets** | 1,540 | 2,758 | 4,240 | 5,965 | 7,092 | 8,087 | 1,458.4 | 1,470.1 | 1,463.9 | 1,539.9 | 1,863.1 | 2,213.3 | 2,481.4 | 2,758.5 |
| **Total Assets** | 7,213 | 16,612 | 27,754 | 39,799 | 49,726 | 59,517 | 5,834.9 | 6,241.1 | 6,606.7 | 7,213.1 | 8,260.0 | 9,787.6 | 14,526.2 | 16,611.6 |
| **Liabilities** | | | | | | | | | | | | | | |
| Accounts payable | 1,866 | 5,575 | 10,762 | 15,646 | 18,610 | 21,026 | 1,377.8 | 1,595.2 | 1,679.8 | 1,866.1 | 3,087.9 | 3,819.7 | 4,632.9 | 5,575.1 |
| Accruals and other current liabilities and provisions | 1,897 | 3,137 | 6,056 | 8,804 | 10,472 | 11,832 | 1,649.7 | 1,699.0 | 1,795.1 | 2,047.5 | 1,966.8 | 2,333.5 | 2,435.0 | 3,137.3 |
| **Operating Liabilities** | 3,914 | 8,712 | 16,818 | 24,450 | 29,082 | 32,859 | 3,027.5 | 3,294.2 | 3,474.9 | 3,913.6 | 5,054.7 | 6,153.2 | 7,067.9 | 8,712.4 |
| Total Debt | 777 | 810 | 810 | 810 | 810 | 810 | 941.7 | 875.2 | 784.1 | 776.5 | 772.4 | 810.4 | 810.4 | 810.4 |
| Other non-operating liabilities | 131 | 344 | 344 | 344 | 344 | 344 | 308.9 | 313.8 | 319.1 | 306.7 | 334.7 | 344.4 | 344.4 | 344.4 |
| **Total Non-Operating Liabilities** | 1,083 | 1,155 | 1,155 | 1,155 | 1,155 | 1,155 | 1,250.6 | 1,189.0 | 1,103.2 | 1,083.2 | 1,107.1 | 1,154.8 | 1,154.8 | 1,154.8 |
| **Total Liabilities** | 4,997 | 9,867 | 17,973 | 25,605 | 30,237 | 34,014 | 4,278.1 | 4,483.2 | 4,578.1 | 4,996.8 | 6,161.8 | 7,308.0 | 8,222.7 | 9,867.2 |
| **Equity** | | | | | | | | | | | | | | |
| **Total Equity** | 2,216 | 3,294 | 6,331 | 10,744 | 16,039 | 22,054 | 1,556.8 | 1,757.9 | 2,028.6 | 2,216.3 | 2,098.2 | 2,479.6 | 2,853.5 | 3,294.4 |
| *Assets - Liabilities & Equity* | - | *3,450* | *3,450* | *3,450* | *3,450* | *3,450* | - | - | - | - | - | - | **3,450.0** | **3,450.0** |
| **Book value per share** | 19.09 | 26.14 | 50.44 | 85.94 | 128.81 | 177.84 | 13.32 | 15.17 | 17.50 | 19.12 | 18.13 | 21.34 | 22.63 | 26.14 |
| **Cash Flow** | | | | | | | | | | | | | | |
| **Cash flows from operating activities** | | | | | | | | | | | | | | |
| Net income | 833 | 1,337 | 2,846 | 4,136 | 4,965 | 5,643 | 86.2 | 211 | 267.8 | 267.5 | 212.3 | 368.8 | 345.5 | 410.8 |
| Adjustments to reconcile net income to cash provided by operating activities | | | | | | | | | | | | | | |
| Depreciation and Amortization | 176 | 202 | 201 | 384 | 531 | 631 | 37.4 | 45.3 | 40.3 | 52.7 | 39.6 | 44 | 56.0 | 62.1 |
| Stock-based compensation | 70 | 108 | 191 | 277 | 330 | 373 | 26 | 15.2 | 15.6 | 13 | 30.5 | 19.3 | 28.4 | 30.1 |
| Deferred income tax | (68) | (119) | (264) | (246) | (149) | (122) | -0.1 | -14.9 | -1.1 | -52.3 | -26.6 | -22 | (31.9) | (38.8) |
| Other, Net | (238) | (180) | (321) | (298) | (181) | (148) | 26.6 | -83.5 | -104 | -77.1 | 13.5 | -107.8 | (38.8) | (47.1) |
| Change in Working Capital | (112) | 260 | (882) | (773) | (469) | (382) | -45.8 | -20.7 | -92.4 | 46.8 | 87 | 108.6 | (255.1) | 319.7 |
| **Net cash provided by operating activities** | 660 | 1,608 | 1,770 | 3,481 | 5,027 | 5,994 | 130.3 | 152.4 | 126.2 | 250.6 | 356.3 | 410.9 | 104.1 | 736.8 |
| **Cash flows from investing activities** | | | | | | | | | | | | | | |
| Capital Expenditure and Capitalized Software Development | (201) | (1,000) | (1,097) | (1,565) | (1,329) | (1,356) | -36.7 | -32.5 | -37.3 | -94.7 | -229.5 | -263.8 | (253.4) | (253.4) |
| Other | (3) | (3) | - | - | - | - | 0 | -2.5 | 0 | 0 | 0 | -2.5 | - | - |
| Acquisitions of Businesses and Assets, Net | - | - | - | - | - | - | 0 | 0 | 0 | 0 | 0 | 0 | - | - |
| Divestiture of Businesses and Assets, Net | - | 11 | - | - | - | - | 0 | 0 | 0 | 0 | 11.1 | - | - | - |
| Purchases (net of maturities and sales) of investments | | - | - | - | - | - | | | | | | | - | - |
| **Net cash provided by/(used in) investing activities** | (204) | (991) | (1,097) | (1,565) | (1,329) | (1,356) | -36.7 | -35 | -37.3 | -94.7 | -218.4 | -266.3 | (253.4) | (253.4) |
| *Sum - Total* | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| **Cash flows from financing activities** | | | | | | | | | | | | | | |
| Debt transactions | (529) | 11 | - | - | - | - | 143 | -66.9 | -96.8 | -8.3 | -7.4 | 18.7 | - | - |
| Repurchase (net of issuance) of Parent Common Stock | (254) | 3,101 | - | - | - | - | -356.7 | -39.7 | 0 | 142.1 | -348.1 | -0.8 | 3,450.0 | - |
| Financing - other | (0) | (5) | - | - | - | - | -0.2 | 0 | 0 | 0 | 0 | -4.8 | - | - |
| Cash dividends paid | | - | - | - | - | - | | | | | | | - | - |
| **Net cash provided by/(used in) financing activities** | (284) | 3,108 | - | - | - | - | -213.9 | -106.6 | -96.8 | 133.8 | -355.5 | 13.1 | 3,450.0 | - |
| *Sum - Total* | *(500)* | - | - | - | - | - | - | - | - | - | - | - | - | - |
| **Cash reconciliation** | | | | | | | | | | | | | | |
| Effect of exchange rate changes on cash, cash equivalents and restricted | - | - | - | - | - | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Net change in cash, cash equivalents and restricted cash** | 172 | 3,724 | 673 | 1,916 | 3,698 | 4,639 | -120.3 | 10.8 | -7.9 | 289.7 | -217.6 | 157.7 | 3300.7 | 483.5 |

Source: Company reports, Bernstein estimates and analysis

# EXHIBIT 9: **CLS Operating Model**

| **Celestica Inc - Operating Profit Model**<br>*In US$ M unless otherwise specified* | 12/31/2025<br>2025A | 12/31/2026<br>2026E | 12/31/2027<br>2027E | 12/31/2028<br>2028E | 12/31/2029<br>2029E | 12/31/2030<br>2030E |
|---|---|---|---|---|---|---|
| **Revenue Drivers** | | | | | | |
| **Non-GAAP Revenue** | | | | | | |
| **Advanced Technology Solutions (ATS)** | **3,202.4** | **3,514.6** | **3,901.2** | **4,096.3** | **4,301.1** | **4,516.2** |
| Communications | 7,126.4 | 11,594.7 | 23,769.0 | 38,030.5 | 45,636.6 | 52,482.1 |
| Enterprise | 2,062.1 | 5,372.2 | 12,356.1 | 16,063.0 | 19,275.6 | 21,203.1 |
| **Connectivity & Cloud Solutions (CCS)** | **9,188.5** | **16,966.9** | **36,125.2** | **54,093.5** | **64,912.1** | **73,685.2** |
| **Total Revenue** | **12,390.9** | **20,481.5** | **40,026.4** | **58,189.7** | **69,213.3** | **78,201.4** |
| **Non-GAAP Revenue Growth** | | | | | | |
| **Revenue growth % (YoY)** | | | | | | |
| **Advanced Technology Solutions (ATS)** | **1.5%** | **9.7%** | **11.0%** | **5.0%** | **5.0%** | **5.0%** |
| Communications | 82.5% | 62.7% | 105.0% | 60.0% | 20.0% | 15.0% |
| Enterprise | -20.3% | 160.5% | 130.0% | 30.0% | 20.0% | 10.0% |
| **Connectivity & Cloud Solutions (CCS)** | **41.6%** | **84.7%** | **112.9%** | **49.7%** | **20.0%** | **13.5%** |
| Intersegment / Other | | | | | | |
| **Total Revenue Growth (YoY)** | **28.5%** | **65.3%** | **95.4%** | **45.4%** | **18.9%** | **13.0%** |
| Reference: Industry model estimate for communications | | | 127.0% | 58.9% | 36.3% | 28.7% |
| **Revenue growth % (QoQ)** | | | | | | |
| **Advanced Technology Solutions (ATS)** | | | | | | |
| Communications | | | | | | |
| Enterprise | | | | | | |
| **Connectivity & Cloud Solutions (CCS)** | | | | | | |
| Intersegment / Other | | | | | | |
| **Total Revenue Growth (QoQ)** | | | | | | |
| **Segment Profit** | | | | | | |
| **Non-GAAP Segment Profit** | | | | | | |
| Advanced Technology Solutions (ATS) | 169.1 | 225.5 | 250.3 | 262.8 | 275.9 | 289.7 |
| Connectivity & Cloud Solutions (CCS) | 757.9 | 1,485.1 | 3,612.5 | 5,409.3 | 6,491.2 | 7,368.5 |
| **Total Segment Profit** | **927.0** | **1,710.5** | **3,862.8** | **5,672.1** | **6,767.1** | **7,658.2** |
| **Non-GAAP Segment Profit Growth** | | | | | | |
| **Segment Profit growth % (YoY)** | | | | | | |
| Advanced Technology Solutions (ATS) | | | | | | |
| Connectivity & Cloud Solutions (CCS) | | | | | | |
| **Total Segment Profit Growth (YoY)** | | | | | | |
| **Segment Profit growth % (QoQ)** | | | | | | |
| Advanced Technology Solutions (ATS) | | | | | | |
| Connectivity & Cloud Solutions (CCS) | | | | | | |
| **Total Segment Profit Growth (QoQ)** | | | | | | |
| **Non-GAAP Segment Profit Margin** | | | | | | |
| Advanced Technology Solutions (ATS) | 5.3% | 6.4% | 6.4% | 6.4% | 6.4% | 6.4% |
| Connectivity & Cloud Solutions (CCS) | 8.2% | 8.8% | 10.0% | 10.0% | 10.0% | 10.0% |
| **Total Segment Profit %** | **7.5%** | **8.4%** | **9.7%** | **9.7%** | **9.8%** | **9.8%** |
| **Non-GAAP Segment Profit Margin Change** | | | | | | |
| **Segment Profit Margin Change % (YoY)** | | | | | | |
| Advanced Technology Solutions (ATS) | | | | | | |
| Connectivity & Cloud Solutions (CCS) | | | | | | |
| **Total Segment Profit Change % (YoY)** | | | | | | |
| **Segment Profit Margin Change % (QoQ)** | | | | | | |
| Advanced Technology Solutions (ATS) | | | | | | |
| Connectivity & Cloud Solutions (CCS) | | | | | | |
| **Total Segment Profit Change % (QoQ)** | | | | | | |
| **Operating Profit Decomposition** | | | | | | |
| **Statement of Operations** | | | | | | |
| **Total revenue** | **12,390.9** | **20,481.5** | **40,026.4** | **58,189.7** | **69,213.3** | **78,201.4** |
| Cost of revenue | 10,975.9 | 18,143.1 | 35,023.1 | 50,916.0 | 60,561.6 | 68,426.2 |
| **Gross profit** | **1,415.0** | **2,338.4** | **5,003.3** | **7,273.7** | **8,651.7** | **9,775.2** |
| Operating expenses: | | | | | | |
| Sales and marketing | 364.0 | 416.9 | 804.9 | 880.9 | 1,027.3 | 1,148.4 |
| Research and development | 118.2 | 203.1 | 320.2 | 698.3 | 830.6 | 938.4 |
| Others | 5.8 | 7.9 | 15.4 | 22.4 | 26.7 | 30.1 |
| **Total operating expenses** | **488.0** | **627.9** | **1,140.5** | **1,601.6** | **1,884.5** | **2,116.9** |
| **Income from operations** | **927.0** | **1,710.5** | **3,862.8** | **5,672.1** | **6,767.1** | **7,658.2** |
| **Common Size Margin Decomposition** | | | | | | |
| **Gross Margin %** | **11.4%** | **11.4%** | **12.5%** | **12.5%** | **12.5%** | **12.5%** |
| SG&A % | 2.9% | 2.0% | 2.0% | 1.5% | 1.5% | 1.5% |
| R&D % | 1.0% | 1.0% | 0.8% | 1.2% | 1.2% | 1.2% |
| Other % | 0.0% | 0.0% | 0.0% | 0.0% | 0.0% | 0.0% |
| **Opex %** | **3.9%** | **3.1%** | **2.8%** | **2.8%** | **2.7%** | **2.7%** |
| **Operating Margin %** | **7.5%** | **8.4%** | **9.7%** | **9.7%** | **9.8%** | **9.8%** |

Source: Company reports, Bernstein estimates and analysis

## BERNSTEIN TICKER TABLE

| | | | 14 Oct 2026 | | TTM | Reported EPS | | | | Reported P/E (x) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Closing | Price | Rel. | | | | | | | |
| Ticker | Rating | Cur | Price | Target | Perf. | Cur | 2025A | 2026E | 2027E | 2025A | 2026E | 2027E |
| CLS (Celestica) | O | USD | 323.32 | 520.00 | 14.3% | USD | 6.06 | 10.82 | 24.19 | 53.4 | 29.9 | 13.4 |
| SPX | | | 7,718.94 | | | | | | | | | |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

## I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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### VALUATION METHODOLOGY

**Celestica Inc**

We apply a ~22x multiple to our estimate of $24 in FY 27 EPS, and set our price target at $520.

### RISKS

**Celestica Inc**

Competition with ODM and EMS peers intensifies, leading to a lower win rate for new programs, reduced share of wallet for existing programs, and narrower margins

Nvidia gains share, reducing Celestica's opportunity to capture share with competing ecosystems such as Google TPU

AI adoption decelerates, in turn leading to reduced investment in AI infrastructure

### RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

### EQUITY RATINGS DEFINITIONS

**Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

**Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

**AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

**CREDIT RATINGS DEFINITIONS**

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

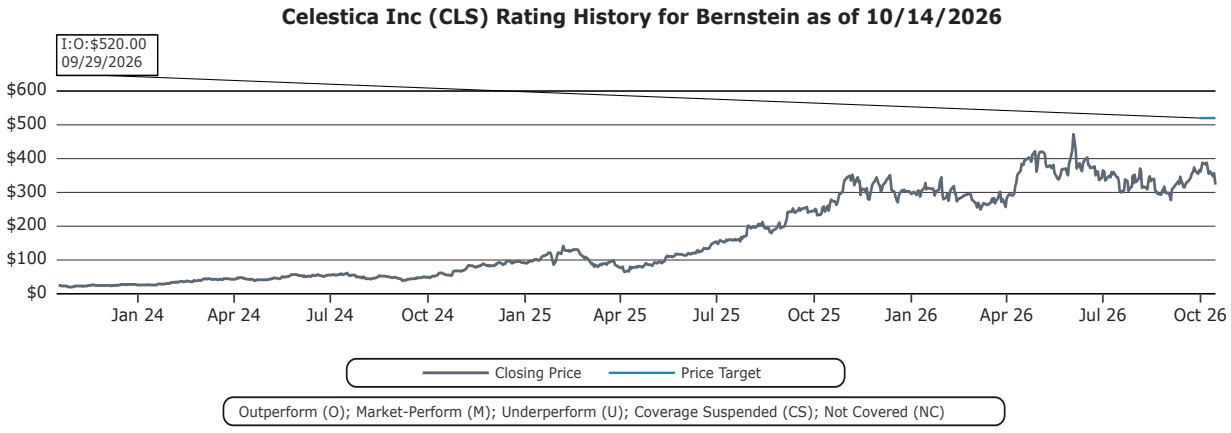
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## DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

| Equity Rating | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|---|---|---|---|
| Outperform | BUY | 52.3% | 14.2% |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD | 35.6% | 16.1% |
| Underperform | SELL | 12.1% | 13.6% |

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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